

Makalot Industrial (1477 TT)

Share price (26 May): TWD212.00

12-mth rating: Hold (3)

Consumer Discretionary: Taiwan

3Q26 guidance: slightly revised down

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Summary: Makalot released its 3Q26 guidance today (26 May). The company has lowered its overall shipment expectation due to geopolitical uncertainties and structural shifts in pricing dynamics. While clients are conservative with longer-term orders, the company is keeping its production flexibility to adjust for short-term orders.

We have a Hold (3) rating on Makalot. For more information on the company, please refer to our latest memo, [1Q26 results slightly beat](#), on 4 May 2026.

What's the impact

- **3Q26 guidance.** Makalot expects its 3Q26 shipment to grow by a mid-single digit % (4-5%) YoY and ASP to decline by 3%, with a gross margin target of 24%. For 2026, the company has lowered its guidance for shipment to grow by a low-single digit % YoY (down from +5% YoY guided earlier) with a flat ASP YoY (from -1% YoY) and 25% gross margin. The likely ASP drop in 3Q26 would be due to a client's AI bidding system and more orders from distributors and online channels. The lower volume forecast for 2H26 is due to the Middle East war, higher oil prices and inflation, which make clients conservative about longer-term orders. Once the end demand recovers, clients are more likely to restock through short-term orders, which the company can quickly fulfil using its flexible capacity.

What we recommend

We have a Hold (3) rating on Makalot. Based on our 2026/27E EPS, the stock is currently trading at PERs of 13.8x/12.6x, at the lower end of its past-3-year trading range of 11-26x. Key upside/downside risks: higher-/fewer-than-expected orders from key clients and inflation.

In the interests of timeliness, this document has not been edited.

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Rating	Percentage of total
Buy*	73.51%
Hold**	19.39%
Sell***	7.10%

Source: Daiwa

Notes: data is for single-branded Daiwa research in Asia (ex Japan) and correct as of 31 March 2026.

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